

UNIT TITLE: PREPARE AND MONITOR BUDGETS		NOMINAL HOURS: 35 hours
UNIT NUMBER: D1.HFI.CL8.05 D1.HFA.CL7.07 D2.TRM.CL9.18		
UNIT DESCRIPTOR: This unit deals with the skills and knowledge required to prepare and monitor budgets in a range of settings within the hotel and travel industries workplace context.		
ELEMENTS AND PERFORMANCE CRITERIA	UNIT VARIABLE AND ASSESSMENT GUIDE	
Element 1: Prepare <i>budget</i> information 1.1 Identify and interpret <i>data and data sources</i> required for <i>budget</i> preparation in a given context correctly 1.2 Review and analyze data 1.3 Obtain senior management or other stakeholder <i>input</i>, where appropriate' 1.4 Provide <i>relevant colleagues</i> with the opportunity to contribute to the budget planning process with adequate notice Element 2: Prepare budget 2.1 Draft budget, based on analysis of all available information and in accordance with enterprise policy 2.2 Estimate income and expenditure and support with valid, reliable and relevant information, including income and expenditure for previous time periods 2.3 Present <i>recommendations</i> clearly, concisely and in an appropriate format	Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to preparing and monitoring budgets within the labor divisions of the hotel and travel industries and may include: 1. Front Office 2. Housekeeping 3. Food and Beverage Service 4. Food Production 5. Travel Agencies 6. Tour Operation <i>Data and data sources</i> required for budget preparation may include: • performance data from previous periods • financial proposals from key stakeholders • financial information from suppliers • customer or supplier research • competitor research	

2.4 Circulate the draft budget to relevant colleagues for comment and make necessary adjustments 2.5 Complete the final budget within designated timelines 2.6 Inform colleagues of final <i>budget decisions and ramifications</i> in a timely manner Element 3: Monitor and review budget 3.1 Review budget regularly to assess actual performance against estimated performance and prepare accurate financial reports 3.2 Incorporate all <i>financial commitments</i> promptly and accurately into budget and all budget reports 3.3 Investigate and take appropriate action on <i>significant deviations</i> 3.4 Analyze changes in the internal and external environment during budget review, and make adjustments accordingly 3.5 Collect and record relevant information to assist in future budget preparation	• management policies and procedures • enterprise budget preparation guidelines • declared commitments in given areas of operation • grant funding guidelines or limitations • Internal and external issues that could impact on budget development • organisational and management re-structures • enterprise/organisational objectives • new legislation or regulation • growth or decline in economic conditions • significant price movement for certain commodities or items • shift in market trends • scope of the project • venue availability (for events) • human resource requirements. <i>Budget may include:</i> • cash budgets • departmental budgets • wages budgets • project budgets • event budgets • sales budgets • cash flow budgets • grant funding budgets • budgets for a small business.
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	<i>Input</i> may include: • budget restrictions • client expectations. <i>Relevant colleagues</i> may include: • department heads • financial managers. <i>Recommendations</i> may include: • budget restrictions • operational budgets • contingency plan. <i>Budget decisions and ramifications</i> may refer to: • increase/decrease in allocations • cost-cutting decisions, such as retrenching staff, closing departments, etc • expansion decisions, such as employing more staff, opening new outlets/departments, etc. <i>Financial commitments</i> may relate to: • contracts related to expenditure • contracts related to income. <i>Significant deviations</i> may include: • large percentage increase in costs • financial results vary significantly to budget. Assessment Guide The following skills and knowledge must be assessed as part of this unit: • knowledge of the role of different types of budgets within tourism and hospitality businesses • knowledge of the nature of the budget development process within different tourism and hospitality businesses and contexts
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	• knowledge of budget preparation and monitoring principles, practices and techniques including: ▪ information required for budget preparation ▪ components of a budget ▪ techniques for making budget estimates ▪ type of supporting information required ▪ components of a budget performance report ▪ how to present budgets and budget reports ▪ capabilities and benefits of using computer software in relation to the budget development and monitoring process ▪ budget deviation management, including common reasons for deviations ▪ negotiation techniques in specific relation to budgetary planning. Linkages To Other Units • Develop and implement a business plan • Prepare business documents • Use common business tools and technology • Audit financial procedures • Maintain financial performance within a budget. Critical Aspects of Assessment Evidence of the following is essential: • demonstrate ability to apply budget preparation processes and procedures within typical workplace time constraints • demonstrate ability to prepare realistic and accurate budgets within the context of the hotel and travel industries
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	• ability to analyze the internal and external factors that impact on the budget development process • demonstrated ability to involve multiple stakeholders in the budget development and monitoring process. Context of Assessment This unit may be assessed on or off the job: • assessment should include practical demonstration of the ability to prepare and monitor budgets either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge • assessment must relate to the individual's work area, job role and area of responsibility • assessment must include project or work activities that allow the candidate to prepare a budget relevant to work area, job role and area of responsibility. Resource Implications Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment. Assessment Methods The following methods may be used to assess competency for this unit: • case studies • observation of practical candidate performance • oral and written questions • portfolio evidence • problem solving • role plays • third party reports completed by a supervisor • project and assignment work
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	Key Competencies in this Unit		
	<i>Level 1 = competence to undertake tasks effectively</i>		
	<i>Level 2 = competence to manage tasks</i>		
	<i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organizing and analyzing information	3	Gather and analyze data to assist in the budget development process
	Communicating ideas and information	2	Provide a briefing on the draft budget to senior management
	Planning and organizing activities	3	Organize the consultation process before and during the budget development phase
	Working with others and in teams	3	Discuss/negotiate potential budget adjustments with colleagues
	Using mathematical ideas and techniques	3	Develop different budget scenarios
	Solving problems	3	Investigate a significant expenditure deviation and develop a solution to ensure budget targets are maintained
	Using technology	2	Use the budgetary planning tools within an accounting software package